EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P101,744,362.30, P18,449,411.45 and P83,294,950.85, with an increase of 16.26%, 46.76% and 11.14%respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P52,182,323.60 and P42,838,752.48, which increase by 8.68% and 5.57% respectively from last year's figures.

	2017	2016	Increase(Decrease)	
			Amount	%
Financial Position				
Assets	101,835,234.43	87,517,723.22	14,317,511.21	16.36
Liabilities	18,531,164.50	12,571,441.44	5,959,723.06	47.41
Govt. Equity	83,304,069.93	74,946,281.78	8,357,788.15	11.15
Financial Performance				
Income	52,185,869.62	48,014,545.75	4,171,323.87	8.69
Expense	42,847,379.42	40,580,124.07	2,267,255.35	5.59
Appropriations, Allotments and Obligation				
Appropriations	55,442,335.43	52,457,191.79	2,985,143.64	5.69
Allotments	55,442,335.43	52,457,191.79	2,985,143.64	5.69
Obligations	47,440,713.83	42,340,273.01	5,100,440.82	12.05

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	304,676.00	304,676.00	-
Due from GOCCs		-	-
Due from LGUs	151,919.85	151,919.85	-
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	-	-	-
Fund Received from Other Agencies:			
Due to Other NGAs	10,444,618.80	5,497,992.55	4,946,626.25
Due to LGUs	1,401,974.45	1,701,759.40	(299,784.95)
Due to GOCCs	-	-	-
Others	-	-	-
TOTAL	**11,846,593.25**	**7,199,751.95**	**4,646,841.30**

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of presentation of the agency's financial statements of the Municipality of Sta. Praxedes as at December 31, 2017.

4. Summary of Audit Observations and Recommendations

1. Unutilized balances of fund transfers received from National Government Agencies (NGAs) amounting to P1,160,143.45 for different projects and programs implemented by the municipality were not returned to the source agencies or remained unutilized, contrary to Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

   We recommended that management strictly adhere with the provisions of Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfer received from National Government Agencies (NGAs). The Municipal Accountant is advised to collate records to ensure that all unspent balances of fund transfers for completed projects irrespective of source agency be returned.

2. Local Access Roads projects funded by FY 2017 LGSF-ADM Program were not fully compliant with the policy guidelines and procedures provided under DILG DBM Joint Memorandum Circular No. 2017-03 dated May 23, 2017.

We recommended that management closely monitor and supervise the implementation of the project in accordance with contract plans and specifications. COA projects signboard must be installed at project location in accordance with COA Circular No. 2013-004 dated January 30, 2013. Close coordination with the DILG (MLGOO) must be taken to ensure compliance with the policy and guidelines of DILG-DBM JMC No. 2017-03.

Initiate appropriate actions in case of delay/negative slippage in the implementation of the project including the imposition of liquidated damages, if warranted.

3. Non-appointment of the mandatory positions of a Municipal Disaster Risk Reduction and Management Officer (MDRRMP) and three (3) staff, contrary to Sections 4.2 & 4.3 of NDRRMC, DBM, DILG, CSC Joint Memorandum Circular No. 2014-01 dated April 14, 2014 implementing the Philippine Disaster Risk Reduction and Management (PDRRM) Act of 2010.

   We recommended that management appoint a LDRRM Officer with three (3) support staff in accordance with the provisions of NDRRMC, DBM, DILG, CSC Joint Memorandum Circular No. 2014-01, in order for the LDRRM Office to fully function and responsible for LDRRM activities.

4. Several programs and activities of GAD Plan and Budget (GPB) amounting to P1,330,000.00 were not implemented and monitored in contrary with the requirements under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, dated July 18, 2013 or Guidelines on the Localization of the Magna Carta of Women.

   We recommended that management thru the GFPS Executive Committee and TWG comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 in the implementation of GPB. Periodic review and corrections should be made on GPB to address local needs, concerns and welfare of women including other gender related issues.

5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

Disallowances					
Prior Years	723,460.00	-	524,823.00	198,637.00	73%
Current Year	-	-	-	-	
Total	**723,460.00**	**-**	**524,823.00**	198,637.00	73%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fifteen (15) audit recommendations of prior year's report, eight (8) were fully implemented, two (2) were partially implemented and five (5) were not implemented as at year-end.